Vardhman Textiles Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

One of India's largest cotton yarn spinners (Ludhiana), also making woven fabrics, sewing threads, fibres and a small shirt business; a new performance (synthetic) fabrics plant started in FY26. Sells yarn and fabric to garment and textile makers in India and abroad (Bangladesh, China and others).

- Market cap about Rs 15,103 cr.
- FY26 consolidated sales Rs 9,869 cr, flat; operating margin about 13% (it was 24% in FY22).
- Sep 2026 quarter: sales Rs 2,866 cr, up about 16%; operating margin 20% vs 13% a year ago; net profit Rs 359 cr vs Rs 188 cr.
- Debt to equity practically zero, per the MD.

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY26 → Q4 FY26 (3 calls)	Oct 2025 → May 2026	Skimmed for promises
Q1 FY27	Aug 2026	Key sections
Q2 FY27	6 Nov 2026	Yes, in full ★

About one year of calls read closely; 20 transcripts going back to 2018 are on Screener (four old ones missing).

Latest concall highlights: Q2 FY27 (6 Nov 2026)

- Yarn business drove the quarter: better export-led yarn demand and higher yarn prices, plus a trading gain because Vardhman had bought cotton cheaply (about Rs 54-55k a candy) before prices rose to about Rs 64-65k. The MD warned part of this trading gain may not be available going forward.
- Fabric was weak: lower exports on US tariff uncertainty, about 20% higher input costs it couldn't pass on, and new processing capacity not yet filled. Fabric utilization about 70-75% in Q2, about 80% now.
- Performance fabrics plant (commissioned March 2026): two customers approved, 35-40% utilization; breakeven at about 50%, expected to turn operating positive in H2 FY27.
- Capacity: an open-end spinning project of about 50 tonnes a day (on a base of about 700) starts in 6-7 months, about 8% more output. Land in PM MITRA Park, Madhya Pradesh, delayed by 8-9 months. Garment capacity being doubled.
- Long-term EBITDA margin aim lowered to 16-20% (from the older 18-22%); long-term revenue growth of about 5-8% a year.

Business mix & capacity

- Domestic vs export: not split on the call; India's yarn exports go about 30-35% to Bangladesh, and Vardhman's share is similar.
- Capacity utilization: spinning about 100% (always run full); fabric about 80% now, aiming for 90-95% in a few quarters; performance fabrics 35-40%.

3. Earning trigger thesis

The quarter's jump came mostly from the yarn cycle turning: about 12-13 million spindles left the Indian industry, Chinese buyers are sourcing Indian yarn, and Vardhman's cheap cotton gave a one-time gain. Lasting drivers are smaller: the open-end project, filling new fabric capacity, the performance fabrics ramp, and cheaper green power. Big growth waits for the Madhya Pradesh land, now delayed.

Trigger	What management said	Evidence so far	Time horizon	Strength
Yarn cycle and spreads	Demand better, prices up; spreads now 'comparable' to Q2	Q2 margin 20% vs 13%	Uncertain	Moderate: partly a one-off cotton gain
Open-end spinning project	About 50 tonnes/day, 6-7 months	Under construction	H1 FY28	Moderate
Fabric capacity fill and performance fabrics	Utilization to 90-95% in a few quarters; synthetics positive in H2	Fabric 80%, synthetics 35-40%	6-9 months	Weak so far
PM MITRA Park expansion	Big growth once land is handed over	Land delayed 8-9 months; no capex announced	2+ years	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already practically debt-free
New business	Yes	Performance fabrics: 'two customers have already approved the plant. They have started giving us the orders' (Nov 2026)
Margin up	Yes	Yarn price improvement plus trading gains and operations; green power saving Rs 1-1.5 a unit (Nov 2026)
New management	No	Not discussed
New capacity	Yes	Open-end project of about 50 tonnes a day operational in 6-7 months; garment capacity doubling (Nov 2026)
Big orders	No	Not applicable
Turnaround	No	Not claimed
Promoter buying	No	Not discussed

Single concrete driver: Better yarn spreads after weak spinners shut capacity, with an open-end spinning project and new fabric lines to fill next.

3c. Margin bridge

Operating margin was 20% in the Sep 2026 quarter vs 13% a year ago. The MD credits higher yarn prices from export demand and a cost push, a trading gain on cotton bought cheaply before prices rose (and some duty-free imports), plus cost control and modernisation. He said part of the trading gain may not repeat now that new-season cotton costs more (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict

Q2 FY26 call (Oct 2025)	Commission performance fabrics plant within the quarter	Commissioned (reported Jan 2026); March 2026 per Nov call	Delivered
Q4 FY26 call (May 2026)	Performance fabrics better utilized in 6-9 months	35-40% now; breakeven at 50%	Partly / on track
Q4 FY26 call	Green power and cost-reduction projects in 1-2 months	About 40-50% done; rest in 3-4 months	Partly (late)
Q1 FY27 call	Open-end project of 55-60 tonnes/day	Now about 50 tonnes/day, 6-7 months away	On track
Long-term	EBITDA margin 18-22%	Guidance lowered to 16-20%	Reset

Management is cautious and doesn't overpromise; the core story (spinning leader, careful growth, wait for raw-material policy clarity) is unchanged. Fabric has disappointed for a year, explained by tariffs and new capacity, and the long-term margin aim was lowered.

5. Bottom line

Durable earning trigger? → MAYBE

The yarn upturn is real but part of this quarter's profit was a cotton trading gain the MD says may not repeat; the lasting drivers (open-end project, fabric fill, synthetics) are still small or ramping.

Management consistent? → YES

Plants were commissioned roughly as said, guidance is modest and candid, and the MD flagged the one-off part of the gain himself.

6. Checkpoints for next quarter

- Operating margin stays well above a year ago once costlier cotton is used
- Performance fabrics plant reaches breakeven utilization
- Open-end spinning project starts production on schedule

Sources

- Screener.in: VTL financials and concall transcripts

This is not investment advice. Do your own due diligence.